

Meaning

- Business environment is the surrounding in which business is exist.
- The complete awareness and understanding of business environment is known as environment scanning. Environment scanning is conducted to find out the influence of different factors and persons on the business.
- Business environment provide constraints as well as opportunities for the Businessman.
- Constraints or threats refers to conditions which restrict business activities. Opportunities refers to conditions which allows growth & expansion of business activities.

Importance of business environment :

- (1) Enables the firm to identify opportunities and getting first mover advantage → The businessman who are able to understand and scan the opportunities of business environment at early stage they get maximum benefit or they can capture a big share in market. They can go much ahead of their competitors through environment scanning.

(2) Help the firm to identify the threats and early warning signal → The businessman who are able to understand the business environment on time get a warning signal to deal with the negative policies of business environment. Timely scanning of business environment and quantitative information which businessman get is taken as warning signal and changes are made in company accordingly.

(3) Helpful in tapping & assembling resources → Businessmen have to supply the goods to market according to the demand in market to supply output they need input, raw material etc. they acquire raw material, select resources according to availability in environment and demand of output in environment.

(4) Helps to adjust and adopt with the rapid changes :-
- Today's changes are taking place very fast & these changes have great impact on business. So it is essential to understand these changes as early as possible. Environment scanning help the companies to scan and understand these changes & businessmen make changes in their internal environment also to match the external environment.

(5) helps in planning & policy making → Plans & policies in the organisation are formed keeping in mind business environment. So these must be made by keeping in mind the environment factors. through environment scanning we can make plans &

policies to remove threats & grab opportunities.

- (6) Improvement in performance → with continuous scan of Business environment companies can easily improve their performance by making rapid changes in Business with external environment a business can stay in market for long period and capture a big share in market.

Features of Business Environment

- (1) All the external forces → It include all the forces, institutions and factors which directly or indirectly affects the business organisation.
- (2) Specific and general forces → Business environment includes specific forces such as investors, customers, competitors and suppliers. They affect business directly. General forces are social, political, legal & technological, general or non-human forces affect business indirectly.
- (3) Inter-Relation → All the forces and factors of Business environment are inter-related to each other.
- (4) Uncertainty → Business environment is uncertain. It means it is very difficult to predict the changes in environment.

(5) **Dynamic** → Business environment is **Dynamic**. There is **continuous** and **frequent changes** takes place. So it is **necessary** to **monitor** and **scan** the **environment** on **regular basis**.

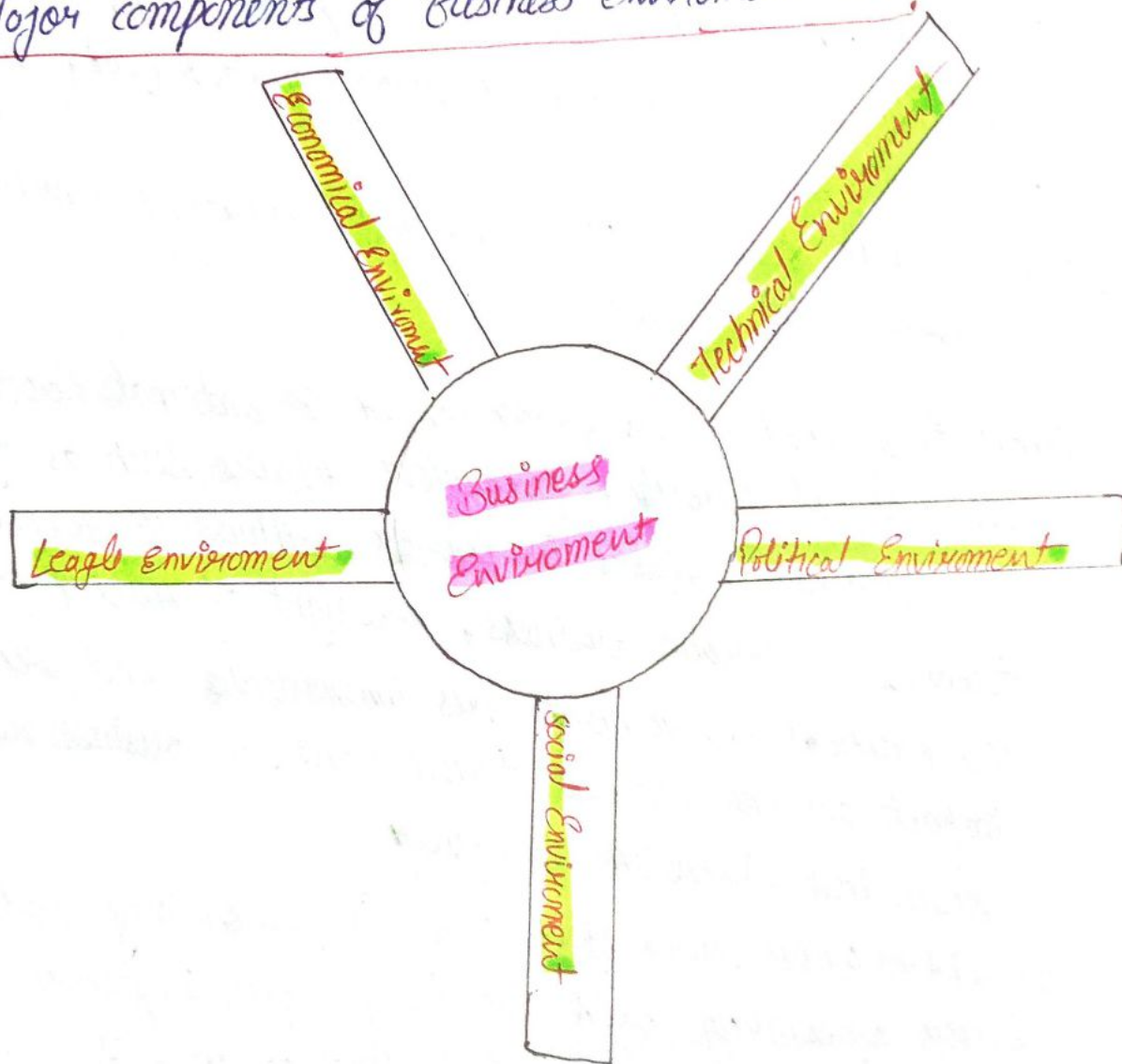
(6) **Complex** → It means it is **very difficult** to **understand** the **impact of business environment** on the **business**. Sometimes a **small change** in **environment** can **bring a large impact** on **your business**.

(7) **Relativity** → **Impact of change** in **business environment** is **not same** on **all industries**. It has **different impact** on **different industry**. It may **bring positive result** for **one industry** and **negative** for **another**.

Eg → **Pollution increases** hence **petrol car should be banned** brings **negative result** for **car companies** but it brings **positive results** for **electric car companies**.

Dimensions of Business Environment

- It refers to all the factors, forces and institutions which have direct or indirect influence over the business transactions.
- Major components of Business environment are:-



- 1) **Economical Environment** → These factors directly influence the Economy of our country. It consists of GDP, income level, per capita income, fiscal policy and monetary policy components. Banking sector reforms, GST Bills, Demonetization of ₹500 & ₹1000 notes, it also includes Balance of payment & trade components, Rate of savings and investments, money

supply, international debt, inflation rate, etc.

(2) Technological environment → It refers to change taking place in method of production, use of new equipments, online teaching, mobile wallet, online payment, new technologies, Dry food, Robotics, online booking of train, air tickets, development of IT sector, ready to cook food, laser operations etc. -

This includes scientific inventions and innovations which leads to improve the business.

(3) Political Environment → This factor consist of external factor such as political stability, government affairs such as type of government ~~affairs~~ in power, attitude of government towards different business, foresight of ruling party. The political environment has immediate and great impact on the business transactions. So businessmen must scan this dimension carefully.

Eg → In 1977 when Janta Govt. came in power they made the policy of sending back all the foreign companies as a result, the coca cola company had to close its business and leave the country. Swachh Bharat Abhiyan started by BJP in 2014 after winning election, Skill Movement India etc.

14) Social Environment → It consists of customs and traditions of the society where business exists. It includes standard of living, taste & preference, education level, people's quality of life, place of women in workforce, lifestyle, festivals etc...

(5) Legal Environment → Every business enterprise has to obey the law, rules and regulations. Ignorance of law is no excuse. Every business should know the rules & regulations of the govt.

- It includes various laws & legislative act, court judgements, Adjustment Order issued by govt, Companies Act, 1956, Industrial Act 1951, FEMA Act, factories Act etc.

The Features of New Economic Policy 1991 (LPG)

Elements of new Economic Policy

(1) Liberalisation → The basic aim of liberalisation was to put an end to those restrictions which restrict the growth and development of nation.

- Following points of liberalisation are

- Abolition of license except few industries
- No restrictions on expansion of business.
- Freedom of fixing price & diversify its product.
- Lifting of unnecessary controls
- Reduction in tax rates etc

(2) Privatisation → It means giving greater role to private sector and reducing the role of public sector. Private sector requires to acquire more than 51% shares in public sector or company then only public company transfer its ownership to private sector. It is also called PSU's disinvestment.

A Board was set up to revive or close sick units in public enterprises suffering loss called (BIFR) Board of Financial Reconstruction.

(3) Globalisation → It refers to integration of various economies of world.
 unite the things

Government of India takes the following measures in 1991.

- Govt. remove restrictions on import of capital goods
 - FERA was replaced by FEMA.
 - Export duty exempted.
 - Reduction in import duty.
- This was done to invite foreign countries to do business in India.

Demonetisation

- On Nov. 8, 2016 notes of ₹ 500 & ₹ 1000 were 'demonetised' ceasing to be legal tender.
- Made 86% of money in circulation invalid
- People deposited the invalid currency in Banks along with facing certain restrictions on cash withdrawals and the convertibility of domestic money and bank deposits.

- Aim, to curb corruption, illegal activities, unfair trade practices and accumulation of 'Black Money'

Features

- 1) Measure of tax administration → Black money holders had to declare the unaccounted wealth and pay taxes at penalty rates.
- 2) Measures to avoid tax evasion → Indicating Govt. will not tolerate tax evasion.
- 3) Measure of channelizing savings into financial system → By depositing money in banks.
- 4) Create 'cash less' or 'cash lite' economy → For increasing financial savings and reducing tax evasion.

Impact of Demonetisation

- 1) Money / Interest rate → Decrease in cash transaction, Increase in bank deposits.
- 2) Private wealth → Decrease in some high demonetised notes not returned.
- 3) Public sector wealth → No effect
- 4) Digitisation → Increase in digital transaction.
- 5) Real Estate → Decrease in prices
- 6) Tax collection → Increase in income tax collection.